

istered as NBFC-P2Ps with the RBI. Then there are financial technology companies, or fintechs, such as BharatPe's 12% Club and MobiKwik Xtra that have tied-up with NBFC-P2Ps to offer lending services to their customers.

There are fintech companies like BharatPe that offer both borrowing and lending services with interest rate up to 12 per cent. It also gives investors the opportunity to lend to the company's merchants, whose creditworthiness they can check based on business cash flows and facilitate repayment by deducting a small portion from their daily payouts. The funds borrowed through the "12% Club" initiative are facilitated by a standard NBFC like Hindon Mercantile, which provides loans to consumers. Currently, BharatPe has waitlisted borrowers on the 12% Club platform.

## KNOW THY DEBTOR

When investing in these platforms, it is critical to understand who you are lending to. This is because each player uses different criteria to select borrowers. For example, while some platforms ask for a credit score of 790 and more, and there are some that accept sub-par credit scores. There are also some that lend to small and medium enterprises seeking unsecured personal or business loans. Consider this, LiquiLoans has a partner ecosystem with upGrad, CRED, and Livspace.

"We use an advanced, technology-driven process of verification that assesses a potential borrower on more than 120 criteria and over 400 data points, based on the personal or financial information and documentation provided. We also undertake physical verification at both the residence and the work-



**"P2P platforms have invested approximately ₹20,000 crore in loans, with a combined outstanding AUM of around ₹4,000 crore"**

**BHAVIN PATEL**  
CO-FOUNDER & CEO,  
LENDENCUB



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**RAJAT GANDHI**  
FOUNDER & CEO, FAIRCENT

place of the borrower," says Rajat Gandhi, Founder and Chief Executive Officer of Faircent.

All the data collected is then processed with an algorithm to evaluate a borrower. That evaluation then determines the amount, tenure, and interest rates to be assigned for each loan. Besides, borrowers are also classified in risk buckets based on the evaluation ranging from low, medium, high, to very high with interest rates in the range of 12-35 per cent.

## DETERMINING RETURNS

How do these platforms decide interest rates to be paid to investors? The math goes something like this: If the money is lent to the borrower at an annual interest rate of 23 per cent, assuming the average loan tenure is six months and non-performing asset (NPA) rate for every cycle of around 4 per cent, and platform facilitation fees of 3 per cent per annum, then the returns for lenders or investors works out to 12 per cent per annum (23-8-3=12).

One more thing you must keep in mind is that the interest rate you are offered by a P2P platform is not guaranteed because it is directly impacted by the NPAs of the portfolio. So, it is important that you check the profile of borrowers and their NPAs when you choose a P2P lending platform.

It is better to go with players that disclose NPA numbers on the portfolio performance page on their website. However, while NBFC-P2Ps come under the RBI's purview, there is no standard format for disclosures, which makes access to this information a bit tricky.

Another way to find out whether a platform is trustworthy or not is to check its track record and reputation, especially to see if it